

Hedgeye's macro team spent the week hammering a single message: the violent bounce off oversold lows is not the all-clear. Keith McCullough's Friday Early Look, "Crash, Bounce, Then?", frames the Mag7 / high-beta momentum rally as a textbook oversold snapback inside an ongoing Global #Quad3 Stagflation regime — not a trend reversal — and lays out a rules-based plan to fade strength until price recaptures TRADE and TREND. Underneath, the team is rotating out of crowded mega-cap tech into lower-beta, less-owned exposures (**Real Estate, Health Care, Brazil, oil refiners**) while initiating a fresh long in the **U.S. Dollar** and new shorts in **Bitcoin** and lithium.

Coverage note: Hedgeye does not publish on weekends. This Saturday (GMT+8) edition covers Friday, July 31 (EDT) as "Today" — the most recent publishing day — and Thursday, July 30 (EDT) as "Yesterday."

Today's Publications — Friday, July 31

EARLY LOOK — "Crash, Bounce, Then?"

Early Look • Keith McCullough • Fri, Jul 31 • 07:38 AM EDT

Quad positioning: Global #Quad3 Stagflation remains the base case for 2H 2026. McCullough's flagship note argues that this week's snapback in Mega-Cap Tech and high-beta momentum is a classic oversold bounce, not a trend reversal: "markets bounce big because they crashed." Day 1 of a recovery in something that has been falling for weeks proves nothing about the broader trend.

The whole note is an execution playbook built around the Risk Range™ Signals. The rules: reduce shorts near the oversold low end of the range, then wait and watch. If a bounce fails at the @Hedgeye TRADE momentum level, that is a signal to re-engage the short. If price "recaptures the flag" (closes above TRADE), cut the short to MIN size. If price then ramps above the intermediate-term TREND level, stop out of the short entirely and consider going long on the next correction. The same rules run in reverse for longs.

His worked example is Technology (XLK): Risk Range **165–181**, with the immediate-term TRADE line at **\$180** and intermediate-term TREND at **\$176**. He flagged XLK "immediate-term TRADE #Oversold" when it closed at 166 two days earlier and cut his XLK short to minimum size on Wednesday near the low end; he will now wait to see whether it recaptures **\$180** before stopping out. In Asia, he owns nothing in Japan and is short **South Korea (EWY)** — the **Nikkei** fell another **-1.5%** overnight to **-11.6%** over the past month, finally signaling TRADE oversold alongside a **KOSPI** exhaustion signal.

The philosophical spine contrasts his fractal, Rate-of-Change, Quad-driven process with Jeremy Siegel's "Stocks for the Long Run" — "Old Wall linear... no Rate of Change, no Quad, no Fractal Signals." The investment implication: patience over prediction, execute at defined levels, and position from signals rather than narratives. "Most Momentum Monkeys are still knocked out cold. The fractal doesn't care. It just keeps printing."

Risk Range™ Signals — Early Look (Fri, Jul 31)

Asset	Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.59 – 4.71	Bullish
High Yield (HYG)	78.97 – 79.76	Neutral
Investment Grade Corp Bonds (LQD)	105.7 – 107.3	Bearish
S&P 500 (SPX)	7316 – 7538	Bullish

Asset	Range	TREND
NASDAQ Composite (COMPQ)	24314 – 25569	Bearish
Russell 2000 (RUT)	2904 – 2990	Bullish
Technology (XLK)	165 – 181	Bearish
Health Care (XLV)	159 – 168	Bullish
Real Estate (XLRE)	44.99 – 46.40	Bullish
Volatility Index (VIX)	15.77 – 20.56	Bearish
U.S. Dollar Index (USD)	99.76 – 102.01	Bullish
Crude Oil (WTIC)	79.27 – 92.90	Bullish
Natural Gas (NATGAS)	2.61 – 2.93	Bearish
Gold (GOLD)	3991 – 4139	Bearish
Copper (COPPER)	6.19 – 6.59	Bullish
Silver (SILVER)	55 – 60	Bearish

THE MACRO SHOW — Summary Notes

The Macro Show · Friday · Fri, Jul 31 · 10:30 AM EDT

New long: **U.S. Dollar**. Keith initiated a fresh long in the **USD** after an immediate-term oversold signal, preferring to express it long dollar vs. the euro (the yen was a less attractive short with the **Bank of Japan** sounding hawkish overnight). The dollar is bullish TREND but not yet bullish TRADE, so the position was started near the low end of the Risk Range and needs more signal strength to build.

New short: **Bitcoin** vs. the Dollar. **BTC** carries the strongest negative correlation to the dollar of the assets discussed and broke below its immediate-term TRADE near **\$64,000** — now below both TRADE and TREND, which Keith called “quite bearish.” He also initiated a new short in Lithium, sourced through the Alpha Code process rather than any fundamental narrative.

The bounce, in context. High-Beta Momentum rebounded roughly **+14%** and **South Korea's KOSPI** nearly **+18%**, but both followed severe declines — High-Beta Mo remains **~60%** below its peak (needing **~150%** to recover) and Korea **~28%** below its high. No strategic reversal was declared; the catalyst was simply that these markets had become immediately oversold, and “the largest one-day rallies often occur during bear markets.”

What he is buying instead. Keith reiterated longs in **Real Estate (XLRE)** and **Health Care (XLV)** — the two areas he was specifically adding on the down day — plus the **equal-weight S&P 500**. He added to **Brazil (EWZ)** toward the upper end of his sizing range, and stayed long **New Zealand (ENZL)** and the **Philippines (EPHE)**, both near three-month highs. He prefers oil refiners (**CRAK**, bullish TRADE and TREND) over crude itself (bullish TREND, bearish TRADE), and flagged Gold as an early-stage potential build (higher lows for **2–3** sessions, but still needs to break bullish TRADE then TREND). He has exited all European positions and Utilities.

Risks. The 10-year yield remains structurally bullish with no probable break of TRADE or TREND — a persistent problem for rate-sensitive assets. **VIX** sits inside the “Investable Bucket” at **~15.77–20.56**, but a move back above **~19–20** would remove that favorable volatility overlay. Keith flagged rising risk that volatility-control and systematic funds begin selling after month-end, where negative gamma can amplify declines — making the first week of the new month pivotal.

MOMO TRACKER — Mag7 (+2%)

Momentum Stock Tracker · Drake / Ricci • Fri, Jul 31 · 08:34 AM EDT

The momentum dashboard headline captures the setup: Mag7 (+2%), **MSFT** flipping to BULLISH and **AMZN** to NEUTRAL on the bounce, under the banner “Crash → Oversold → Bounce → Then?” — the same message as the Early Look. The tracker is a quantitative dashboard of price, volume and volatility signals for the Mag7 and major equities, using the Risk Range™ Signals as published that morning (it does not reflect intraday updates).

CAPITAL ALLOCATION PRO — Daily Dashboard

Capital Allocation Pro · Model Portfolios • Fri, Jul 31 · 09:26 AM EDT

The Capital Allocation team published its Daily Dashboard and Model Portfolios, with Model Portfolio changes going into effect using Thursday, July 30 closing prices. The team reiterated its “pull vs. push” philosophy — daily content is posted for on-demand access, and emails are sent only when the research demands immediate attention. Trend and Tail levels for the 68-ETF universe are refreshed on a rolling 3–4 week cycle; a July Key Callouts video is pending. (Specific holdings and weights sit behind the subscriber dashboard.)

SIGNAL STRENGTH STOCKS — 66 Stocks

Signal Strength Stocks · 4 Added, 4 Removed • Fri, Jul 31 · 11:21 AM EDT

The screen holds 66 stocks. Added: **TRU**, **EXPGY**, **LH**, **UL**. Removed: **ACHC**, **UNH**, **NVO**, **WCN**. Note the intra-Health-Care rotation — **Labcorp (LH)** added while **UnitedHealth (UNH)** and **Novo Nordisk (NVO)** dropped — consistent with the book's constructive stance on **XLV** even as individual names churn.

CRYPTO QUANT — BTC (-1.4%)

Bitcoin Trend Tracker · Drake / Steiner / Cooper • Fri, Jul 31 · 07:06 AM EDT

“And Then There Were None (Again).” **BTC** slipped -1.4% overnight with **ETH** signaling BEARISH, a **Coinbase (COIN)** 2Q miss, and what the team dubbed “The Quietest Tape.” The read dovetails with Keith's preferred bearish **Bitcoin-versus-dollar** correlation trade — crypto weakness against a dollar the model just bought.

FROM THE DESK — Macro Week Summary Notes

From the Desk · Weekly Wrap • Fri, Jul 31 · 05:59 PM EDT

The weekly wrap collects the Macro Dashboard, Weekly Macro Commentary, **VIX** Gauge, U.S. Monthly Quad Forecast and Chart of the Week. The full note is gated behind the subscriber link, so this item is summarized from the teaser only.

Yesterday's Publications — Thursday, July 30

EARLY LOOK — “You Think You Just Fell Out of a Coconut Tree?”

Early Look · Drago Malesevic, CFA • Thu, Jul 30 · 07:25 AM EDT

What: A two-part note pairing geopolitics (Iran's asymmetric leverage over the **Strait of Hormuz**) with the macro cycle (energy-driven inflation weakening the disinflation trend).

Why: Intra-month energy reflation is pushing the August outlook toward **Quad 3**. Energy and consumer staples were the only two sectors positive the prior day — exactly the real-time confirmation that carries more weight than any static macro view.

Who: Iran / Israel / the U.S. around Hormuz; Fed chair **Warsh** (a committee vote with three dissents); Keith went long **XLE**, **CRAK** and **CERY** over the two prior days on the signal.

Key numbers: July inflation nowcast +3.48% (just +5 bps of deceleration vs. the +24 bps modeled at month start); probability of an August monthly **Quad 3** print raised from 30% to 50%; probability of inflation accelerating raised from 55% to 91%. Risk Range: **SPX 7276–7462** (bullish), **UST10Y 4.58–4.75%** (bullish), **XLK 163–177**

(bearish).

Takeaway: A well-reasoned prior — geopolitical or macro — is only a starting hypothesis; the Signal validates or rejects it. “Conviction and attachment are not the same thing,” and confusing them is where the real risk lives.

KM'S TOP 3 THINGS — Rates / QQQ / Factors

From the Desk · Keith McCullough · Thu, Jul 30 · 07:18 AM EDT

What: The three things on Keith's desk: Rates, **QQQ** and Factors — “Macro Tourists are getting smoked.”

Why: The move in Oil mattered more to the bond market than anything **Warsh** said; long-term yields from Japan to America remain bullish TREND, keeping Global **#Quad3** Stagflation the GIP model forecast for 2H 2026. He expects U.S. inflation to re-accelerate in August (reported in September, just before the Fed meeting).

Who: Fed chair **Warsh** (“just another bureaucrat without an accurate Signaling Process”); Keith remains short **XLK, PTF, MEME, IVES**.

Key numbers: **NASDAQ #Quad4** drawdown of **-10%** with NazVol ripping to 31; High-Beta Momentum down another **-6.7%** on the day to **-33%** in a month; the “retail investor” factor down **-4.2%** to **-8.6%** YTD. Risk Ranges: **SPX 7276–7462; UST10Y 4.58–4.75%.**

Takeaway: The tech wreck is not over yet. Don't pretend to be “factor neutral” when the highest-impact factors crash **50–70%** in a month — lean into net long/short factor and sector positioning.

THE MACRO SHOW — Summary Notes

The Macro Show · Thursday · Thu, Jul 30 · 10:22 AM EDT

What: Rates and Oil led the discussion; the momentum unwind was framed as both fundamental and mechanical.

Why: Oil back to bullish TREND matters for inflation expectations; with the Fed “handing it over to the markets,” bond vigilantes are back in control. Global bond yields remain bullish across 2s/10s/30s, keeping Global **Quad 3** Stagflation the 2H 2026 base case.

Who: PMs Sam Rahman and R. Patrick Kent; references to **Meta**, Google, Amazon and Apple CapEx, and to Mike Green's market-structure work.

Key numbers: **~13 bp** move in the 30-year and **~12 bp** widening in 2s/10s; **memory** prices up **700%–800%** but set to slow sharply by early 2027; mortgage rates back toward **~6.70%**; **VIX** “chop bucket” **~16.7–21.5**.

Takeaway: Stay bullish rates and oil, short **QQQ**-related tech/momentum (**XLK, PTF, MEME, IVES**). A short-term bounce in high-beta tech is possible after the mechanical unwind, but the durable question is whether the same leaders can sustain their prior rate of change — **memory**/DRAM being the clearest example. Dollar liquidity is a “yellow flag.”

MOMO TRACKER — Mag7 (-1.4%)

Momentum Stock Tracker · Thursday · Thu, Jul 30 · 08:10 AM EDT

What: Momentum dashboard: Mag7 **(-1.4%)**, **MSFT=NEUTRAL**, with Risk Range skew of **+11%** upside / **-2%** downside.

Takeaway: “Tech Wreck Reaching Exhaustion” — High-Beta Momentum negative YTD and downside exhaustion signals appearing, but not yet an all-clear (the setup that produced Friday's bounce).

CAPITAL ALLOCATION PRO — Model Portfolio Changes

Capital Allocation Pro · Effective 7/30 · Thu, Jul 30 · 02:48 PM EDT

What: Model Portfolio changes effective 7/30/2026, alongside the day's Daily Dashboard.

Takeaway: Positioning was being adjusted into month-end via the Hubble-driven model process; specifics sit behind the subscriber dashboard.

SIGNAL STRENGTH STOCKS — 66 Stocks

Signal Strength Stocks · 2 Added, 4 Removed · Thu, Jul 30 · 03:57 PM EDT

What: The screen held 66 stocks. Added: **CHWY**, **RTX**.

Takeaway: Fresh additions in **Chewy (CHWY)** and **RTX Corp (RTX)** point to pockets of relative signal strength even amid the broader momentum unwind.

CRYPTO QUANT — BTC (+1.8%)

Bitcoin Trend Tracker · Thursday · Thu, Jul 30 · 08:02 AM EDT

What: **BTC (+1.8%)** overnight, with ETF flows described as a “yawn” and put buying resuming.

Key numbers: Supply Underwater = **47%** — nearly half of **Bitcoin** supply held at a loss.

Takeaway: A muted, put-heavy tape ahead of Friday's renewed bearish shift — flows and on-chain signals offered little conviction either way.